

8.4

Equity

Let us now understand the equity part of the Balance sheet. Let us understand important topics related to equity one-by-one.

What is the capital structure of the company?

First, we understand the capital structure of the company. How does the company finance assets and operations.

EQUITY						
Capital Structure						
Equity	2675	3599	3747	4357	4673	5832
Float	810	901	1164	1245	1268	2108
Debt	227	274	290	315	594	891
As a % of total Assets						
Equity	72.06%	75.39%	72.06%	73.63%	71.50%	66.04%
Float	21.83%	18.88%	22.38%	21.04%	19.40%	23.87%
Debt	6.12%	5.73%	5.57%	5.33%	9.10%	10.09%
Check the potentially convertible securities, preferred						

As seen, the capital structure is divided into three parts-

Equity - Company distributes dividends and the shareholders expect capital appreciation.

Float - This is external capital that can be used free of cost. This is someone else's money used by the company for benefit, which is not being passed on. Neither dividends nor interests are paid.

Debt - The company services it with interest and also repays debt after a point in time.

Traditionally, capital structure comprises debt and equity. We include float as we saw how critical this is. Traditional textbooks will take into consideration - debt and equity. Float is more from a practical understanding point of view.